PACIFIC RIDGEWAY

A PLAIN-ENGLISH GUIDE

The Retirement Paycheck *Guide*

Turn savings into a paycheck you can't outlive.



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W E L C O M E

Your savings were built to *pay you*. Here's how to turn them on.

For 30 or 40 years you got a paycheck. Retirement takes it away. The big question changes from "how do I grow my money?" to "how do I turn it into a paycheck that never stops?"

Most people who saved carefully spend far less than they safely could, because nobody showed them what was safe. This guide explains, in plain English, how retirees build a steady income floor, protect it from market drops, and still leave money to the people they love.

One plan. Four jobs.

Income

A monthly check you can count on, on top of Social Security.

Protect

Money that doesn't go backward when the market crashes.

Grow

Steady growth on money you don't need yet, with no yearly tax on the gains.

Legacy

What's left goes to your spouse or kids, not the insurance company.

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CHAPTER 1

The two biggest retirement risks

It isn't picking the wrong stock. It's running out of money, and taking a big loss at the worst possible time.

RISK 1: LIVING LONGER THAN YOUR MONEY

A 65-year-old couple has a good chance that at least one of them reaches 90. Your money may need to last 25 to 30 years, and you don't know which number to plan for.

RISK 2: A CRASH RIGHT AS YOU RETIRE

A big drop in the first few years hurts more than the same drop later, because you're selling while prices are down to pay the bills. That's called sequence-of-returns risk.

Same average return, very different retirement

Two retirees each start with **$500,000** and take out **$30,000 a year**. Over 20 years both earn the same average return. The only difference is the order of the good and bad years.

	Retiree A: bad years first	Retiree B: good years first
Years 1–3	−15%, −10%, −5%	+12%, +10%, +8%
Money left after year 3	About $280,000	About $560,000
What happens next	Withdrawals eat a much bigger share of a smaller pot	Withdrawals barely dent the balance
Lesson	The early years matter most	Luck, not planning

Hypothetical example for illustration only. Not a prediction of any investment or product.

The fix isn't to avoid the market. It's to make sure your *basic bills* never depend on it.

That's the job of an income floor: guaranteed income from Social Security, any pension, and, if it fits, an annuity. Once the floor covers the essentials, the rest of your money can ride out market swings without forcing you to sell low.

CHAPTER 2

Find your income gap

Your income gap is the difference between what you spend each month and the guaranteed income you already have.

1

Add up your must-haves

Housing, food, utilities, insurance, healthcare, car.

2

Add the nice-to-haves

Travel, gifts, hobbies, helping family.

3

Subtract guaranteed income

Social Security, pensions, any lifetime income.

Example: Tom and Linda, both 64

Monthly	Amount	Notes
Must-have spending	$5,200	Mortgage paid off; healthcare is the big one
Nice-to-have spending	$1,300	Two trips a year, grandkids
Total spending	$6,500	
Social Security (both)	−$4,100	If they claim at 67
Income gap	$2,400 / month	About $28,800 a year to come from savings

Tom and Linda have **$520,000** in IRAs. The question isn't whether they can cover $2,400 a month. It's whether they can cover it **for 30 years, through any market**, and still leave something to the kids.

Three ways to fill the gap

WITHDRAW FROM INVESTMENTS

Flexible, but your paycheck shrinks or stops if the market drops and stays down.

GUARANTEED LIFETIME INCOME

An annuity pays a set amount for life. Less flexible, but it can't run out.

A BLEND OF BOTH

Guarantee the must-haves. Invest for the nice-to-haves and growth. Most families land here.

Hypothetical example. Your numbers, Social Security amounts and needs will differ.

CHAPTER 3

What is an annuity?

An annuity is a contract with an insurance company. You give it money, and it promises to grow that money safely, pay you income, or both.

Think of it as a personal pension you buy for yourself. Not all annuities are alike, and the wrong one can cost you. Here are the four main kinds:

Type	How it works	Best for	Watch out for
Immediate (SPIA)	Hand over a lump sum, get income for life starting right away	Maximum guaranteed income now	Usually no access to the lump sum later
Fixed / MYGA	A set interest rate for a set number of years, like a CD	Safe, predictable growth	Penalty if you leave early
Fixed indexed (FIA)	Interest linked to a market index, never below 0%; optional income rider	Growth with no market losses, plus lifetime income	Caps, rider fees and surrender periods
Variable	Money is invested in market funds	People who want market exposure	Can lose value; often the highest fees

The words you'll hear

Premium. The money you put in, in one lump sum or over time.

Accumulation phase. The years your money is growing.

Income phase. When you turn on your paycheck.

Surrender period. The years you'd pay a fee to take out more than the free amount.

Rider. An optional add-on, like lifetime income, usually for a yearly fee.

Beneficiary. Who gets what's left when you pass away.

We focus on *fixed and fixed indexed* annuities, because they can't lose money to the market and can pay you for life.

CHAPTER 4

Fixed indexed annuities

Your money earns interest based on how a market index does, like the S&P 500. When the index drops, you get 0%, not a loss.

Your money is **not** invested in the stock market. The insurance company credits interest based on the index, inside limits. Four terms decide how much you get:

Term	What it means	Simple example
Floor	The least you can be credited, usually 0%	Index drops 20%. You get 0%, not −20%.
Cap	The most you can be credited in a period	Index gains 15% with an 8% cap. You get 8%.
Participation rate	The share of the index gain you get	Index gains 10% with 60% participation: you get 6%.
Spread / fee	A slice taken off the top of the gain	Index gains 9% with a 2% spread: you get 7%.

Hypothetical rates for illustration. Actual caps, participation rates and spreads vary by company and can change, usually each year.

Locking in your gains

Each year's interest is added to your account and **locked in**. A later market drop can't take it away. This "reset" is why fixed indexed annuities can hold up well in a bumpy market.

FIA PROS

- ✓ No losses from market drops
- ✓ Gains locked in each year
- ✓ Tax-deferred growth
- ✓ Optional lifetime income
- ✓ Money passes to beneficiaries

FIA CONS

- – Caps limit your best years
- – Surrender charges if you leave early
- – Rider fees reduce growth
- – Rates can change over time
- – Not FDIC insured

CHAPTER 5

Income riders: your paycheck for life

An income rider turns an annuity into a personal pension: a guaranteed withdrawal every year for as long as you live, even if the account runs dry.

Two numbers, two jobs

ACCOUNT VALUE

Your real money. You can withdraw it, it earns interest, and what's left goes to your beneficiaries.

INCOME BASE

A calculation number, not cash. It sets the size of your lifetime paycheck and may grow by a set rate each year until you start income.

How it works

1

Put money in

Often a rollover from a 401(k), IRA or old annuity.

2

Let the base grow

Many riders grow the income base each year you wait.

3

Turn on income

Pick your start date. A payout rate is applied to the base.

4

Get paid for life

The check keeps coming even if the account reaches $0.

5

Cover your spouse

A joint option pays for both lives, at a lower amount.

6

Leave the rest

Any remaining account value goes to your beneficiaries.

Example: Linda, 62, $300,000

Linda's rider grows her income base until she starts income at 67. At 67, a **5.5% payout rate** on an income base of **$400,000** gives her **$22,000 a year**, about **$1,833 a month**, for life. If she lives to 95, she's collected **$616,000** in income.

Hypothetical example. Income base growth, payout rates and rider fees vary by company, age and product. Income base is not cash value and can't be withdrawn as a lump sum. Withdrawals above the rider amount can reduce or end the guarantee.

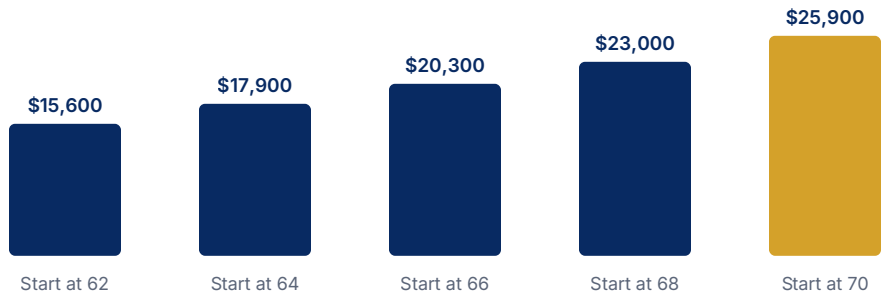
CHAPTER 6

Why waiting can grow your paycheck

With many income riders, every year you wait before turning on income makes the paycheck bigger, for life.

Two things work for you while you wait: the **income base** may grow each year, and the **payout rate** usually goes up with your age. Together, even a few years can add up.

Same $300,000, different start ages



Hypothetical yearly lifetime income for a single person putting in $300,000 at 60. Assumes a rider that grows the income base each year of waiting and age-based payout rates. Not a quote; real figures depend on the company, product, rates and fees when you buy.

When starting sooner makes sense

START NOW IF...

You need the money to cover bills today, or starting income lets you delay Social Security for a bigger check.

WAIT IF...

Other income covers you for now, and you want the largest possible check later, including as protection for a younger spouse.

There's no single right age. The right start date is the one that fits *your* income gap and your Social Security plan.

CHAPTER 7

Fees, surrender charges and the fine print

Every annuity has trade-offs. Here's what to ask about, in plain English, before you sign anything.

Item	What it is	Typical range	What to ask
Surrender charge	A fee if you take out more than the free amount early	5–10 years, shrinking each year	How many years, and what % each year?
Free withdrawals	What you can take each year with no charge	Often 10% a year	Does it start in year 1?
Income rider fee	Yearly cost for the lifetime income guarantee	Often about 1% of the income base	Is the rider optional? Can I skip it?
Caps and rates	Limits on index interest	Set by the company, can change	How have renewal rates changed?
Market value adjustment	An adjustment on early withdrawals if rates moved	Some contracts only	Does this contract have an MVA?
Bonus	Extra credited up front	Some contracts only	What does the bonus cost me in caps or surrender years?

Ranges are general examples, not quotes. Read the contract and the company's disclosure before buying.

Honest risks

- Money you might need soon doesn't belong in an annuity with a long surrender period.
- Guarantees depend on the insurance company's ability to pay its claims.
- A "bonus" is never free. It's usually paid for with lower caps or longer surrender periods.
- Inflation can shrink a level paycheck over time. Ask about increasing income options.

If someone won't explain the fees and surrender schedule in plain English, *don't sign*.

CHAPTER 8

Taxes, rollovers and RMDs

How your annuity is taxed depends on where the money came from. Getting the transfer right can save you a big tax bill.

	Qualified (IRA, 401(k) money)	Non-qualified (after-tax savings)
How it's funded	Rollover or transfer from a retirement plan	Money you already paid tax on
Taxes while it grows	None, tax-deferred	None, tax-deferred
Taxes when you take it	Every dollar taxed as income	Only the gains are taxed; gains come out first
Required minimum distributions	Yes, starting at 73 for most people	No
Taken before 59½	Generally a 10% IRS penalty plus tax	10% penalty on gains, plus tax

Move money the right way

1

Direct transfer

Money goes company to company. You never touch it, so no tax and no withholding.

2

Avoid the 60-day trap

A check made out to you can trigger 20% withholding and a deadline.

3

1035 exchange

Swap an old annuity for a new one without paying tax on the gain.

RMD-friendly income

If your annuity holds IRA money, the yearly income from a lifetime income rider can often satisfy the required minimum distribution for that contract. Ask us to confirm how your specific contract handles RMDs.

General information based on federal tax law as of 2026; state rules differ and laws change. This is not tax advice. Talk to a tax professional about your situation.

CHAPTER 9

Only the strongest companies

An annuity is a promise that may last 30 years or more. Who makes the promise matters as much as what's promised.

FINANCIAL STRENGTH RATINGS

Independent agencies like AM Best grade how able an insurer is to pay claims. We favor companies rated A or better.

TRACK RECORD

How long has the company been paying claims? How have its renewal rates treated existing customers?

STATE GUARANTY ASSOCIATIONS

Every state has a safety net if an insurer fails. Limits vary by state, often around $250,000 in annuity value. It's a backstop, not a reason to pick a weak company.

WE SHOP THE MARKET

We're independent and compare many companies, so you see more than one option and the reasons behind our recommendation.

How we compare companies

We look at	Why it matters
Ratings from AM Best, S&P or Moody's	Ability to keep its promises for decades
Renewal rate history	Whether caps stay fair after year one
Contract terms	Surrender years, free withdrawals, fees
Rider design	How the income base grows and payout rates by age
Service	How easy it is to get answers and money when you need them

CHAPTER 10

Costly mistakes to avoid

We see the same errors over and over. Each one is avoidable.

The mistake	Why it hurts	Do this instead
Putting everything in one annuity	No flexibility for emergencies or opportunities	Keep cash and other savings outside it
Chasing the biggest bonus	Often means lower caps and longer surrender years	Compare total value over time, not day one
Buying an income rider you won't use	You pay the fee every year for nothing	Only add riders that fit your plan
Cashing out a 401(k) to buy one	Can trigger tax and withholding all at once	Use a direct transfer
Ignoring your spouse	Single-life income can stop at the first death	Consider joint income
Replacing an old annuity too soon	Surrender charges and lost benefits	Compare old vs. new side by side
Not naming beneficiaries	Money can get stuck in probate	Name primary and backup beneficiaries
Trusting a sales pitch	You may not get the full picture	Ask the questions on the next page

CHAPTER 11

Questions & checklist

Bring this page to any meeting, with us or anyone else. A good advisor will welcome every question.

ABOUT THE ANNUITY

- ✓ How much guaranteed income will this create, starting now vs. if I wait?
- ✓ What are all the fees, and what do they buy me?
- ✓ How long is the surrender period?
- ✓ What can I take out each year for free?
- ✓ What happens to my money when I pass away?

ABOUT THE COMPANY AND ADVISOR

- ✓ What is the company's financial strength rating?
- ✓ How have its renewal rates changed over time?
- ✓ How many companies did you compare?
- ✓ How are you paid on this?
- ✓ What would you do if you were me?

Is guaranteed income right for you?

An annuity may be worth a look if several of these are true:

- ✓ You're within 10 years of retirement, or already retired.
- ✓ You have at least $100,000 saved for retirement.
- ✓ Social Security and pensions won't cover your must-have bills.
- ✓ A big market drop would change how you live.
- ✓ You'd like part of your income to be guaranteed for life.
- ✓ You have other savings for emergencies.

Not sure? That's what the free 15-minute call is for. We'll run *your* numbers and tell you honestly if an annuity fits.

PACIFIC RIDGEWAY

Let's build your strategy

The policy is the tool. The strategy is what makes it powerful. Here's how we work with every client:

1. **Learn your goals**
   Retirement income, safety, legacy, or all three.
2. **Pick the right tool**
   Fixed, fixed indexed, or both.
3. **Shop the strongest**
   A+ rated, 100+ year companies only.
4. **Build for income**
   Designed for growth, not the biggest commission.
5. **Show every number**
   Guaranteed column, costs and honest risks.
6. **Review every year**
   So your plan stays on track.

Book your free 15-minute call

No pressure. No cost. If a policy isn't right for you, we'll tell you.

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